

Policy discretion versus rules



When Ulysses sailed towards the sirens, he ordered his men to tie him to the mast of his ship. Ulysses wanted to hear the sirens' song, but knew it was so intoxicating that if he was in control of the ship he would sail to their island and crash on the rocks. He knew the best outcome – keeping control of his ship and hearing the song at a safe distance – was impossible, so the best thing would be to relinquish control.

Some argue that economic policy faces the same sort of dilemma. Like Ulysses in control of his ship, full discretion over policy by government is self-defeating. The government promises to deliver low inflation one year, but the following year the temptation to pump up the economy to increase employment will be irresistible, resulting in higher inflation. Some recommend that the government 'ties itself to its mast' by committing to a fixed policy rule, come what may. One way of

doing this is to hand over the levers of policy, for example, to an independent central bank.